Flax Mill Caravan Park — Lawful Process to Cease Long-Stay Occupancy

this research was conducted partly with guided research using anthropic claude ai cowork opus 4.8

Briefing for Councillors

A council resolution to "support implementation of the CMCA Guest Stay Policy" (Item 10.4.2, CM 26/05/117) cannot lawfully end long-stay use or evict existing long-stay tenants. Stopping long-stay sites is a licensing act plus a statutory termination process — not a management policy.

This briefing sets out, in order, the steps the law actually requires if the Shire intends to operate the park as short-term and tourism accommodation only. It draws solely on the relevant Acts and regulations.

Throughout, it is the **Shire** — not CMCA — that is the "park operator" for the purposes of the Residential Parks (Long-stay Tenants) Act 2006. The Shire owns the land, holds the caravan park licence, and is the operator on whom the Act's duties and termination powers fall. CMCA is only the Shire's contracted manager; engaging a manager does not transfer the Shire's statutory role or responsibilities as operator.

Many current councillors may never have seen this agreement

The Shire–CMCA Management Agreement was signed on **1 July 2022**, and most of the current Council took office after that date. This briefing therefore quotes the agreement **directly, word for word**, so that every councillor can see exactly what it does and does not say. It is the Shire's own signed document.

It is also worth knowing what Council was told when it first approved the arrangement. The officer recommendation adopted at the **Ordinary Council Meeting of 28 April 2022** stated: *"Long term tenants will remain the responsibility of the Shire"* (Minutes 28 April 2022, p.38). That commitment does **not** appear in the agreement signed three months later — a gap councillors are entitled to have explained.

What the Shire's own answers establish

The Shire's responses at the 25 June 2026 Public Question Time make the intention clear:

- The policy was introduced "to formalise stay limits and ensure the park continues to operate as a visitor accommodation facility."
- It was supported "to establish consistent occupancy limits... and to return the park to its intended tourism and visitor accommodation purpose."

That is a deliberate decision to cease allowing long-stay occupancy. The question is therefore not *whether* the Shire may do this, but *how* the law requires it to be done.

Step 1 — Long-stay is a lawful, licensed site type, so the change must be made formally

- A "long stay site" is a defined, lawful site type under the Caravan Parks and Camping Grounds Regulations 1997 — a site occupied consecutively by one person or group for any period of time.
- A caravan park licence endorses the **maximum number of sites of each type**. It is an offence to allocate or use sites otherwise than as endorsed on the licence.
- The site-type mix is therefore fixed by the **licence**, and licence details are recorded in the local government's register of licences (reg 66).
- To stop offering long-stay sites, the Shire must formally vary the licence and site classifications through the licensing process under the Caravan Parks and Camping Grounds Act 1995. A management policy or an operator notice cannot do this.
- The Shire is **both the licence holder and the licensing authority** for this park. That overlap must be disclosed and properly managed — it is not a reason to bypass the licensing process.

Step 2 — Ending each existing long-stay agreement, individually, under the Act

- A long-stay agreement may be terminated **only** under a provision of the Residential Parks (Long-stay Tenants) Act 2006 (**s.32Q**). A policy, a council resolution, or a blanket notice cannot override this.
- The grounds available where the intention is to stop long-stay use are:
    - **s.41A** — the park will be closed, or used for a purpose other than a residential park; or
    - **s.41C** — the particular long-stay site is intended to be used for a different purpose than as a long-stay site.
- Any termination notice must comply with **s.41D** and **s.38**, and must:
    - state the section under which the agreement is being terminated;
    - specify the ground; and
    - specify the date by which vacant possession is required.
- The **minimum notice period** under s.41D(2) is:

    - **at least 180 days for a site-only agreement** (where the resident owns their own home or van); and
    - at least 60 days for an on-site home agreement.
- For a **s.41A** termination, the operator must **first give the Commissioner (Consumer Protection) 7 days' written notice** before serving the tenant. Failing to do so carries a $5,000 penalty.
- These notices must be served **individually**, on each affected tenant, on a stated ground — not as a single blanket policy notice to all residents.

Step 3 — Only the State Administrative Tribunal can remove a resident

- The operator **cannot self-evict**. Issuing a notice does not create a right to remove anyone.
- If a tenant does not give vacant possession by the date in a valid notice, the operator must apply to the **State Administrative Tribunal (SAT)** for a possession order. Only SAT can order a resident out.
- Compensation may be payable to the tenant on termination (**s.46**).

Who may exercise these powers

- The statutory powers above belong to the **Shire** — it is the **park operator** under the Residential Parks (Long-stay Tenants) Act 2006, as well as the landowner and caravan park licence holder.
- Because the Shire is the operator, the Act's obligations to long-stay tenants, and the only lawful powers to terminate their agreements, rest with the Shire. They cannot be sidestepped by pointing to CMCA.
- A local government may delegate its statutory powers only to its **CEO and employees** (Local Government Act 1995, **ss 5.42 and 5.44**) — **not to a contractor**.
- CMCA is the Shire's contracted manager, not the park operator. It has no delegated authority to vary the licence, to serve statutory termination notices, or to apply to SAT.

What the Management Agreement actually says — and why it cannot override the Act

- **The agreement obliges CMCA to obey the law.** At clause 5.2, CMCA "covenants that it will carry on and conduct its business of managing the Premises... in such manner as to comply with any statute, including any subordinate legislation." CMCA's own contract therefore requires it to comply with the Residential Parks (Long-stay Tenants) Act 2006. Operating the park in a way that overrides that Act puts CMCA in breach of the very agreement it relies on.

- The Management Agreement (signed 1 July 2022) recites in its Preamble that "the existing caravan park is operated under CMCA's Policies, Procedures and General Rules of Use (the latter of which, some are included in Schedule C)."
- Clause 5.1 confines CMCA to using the premises "only for the purpose of a caravan park and connected activities and for no other purpose whatsoever." A caravan park lawfully includes long-stay sites, so long-stay residents fall within the agreed purpose, not outside it.
- Schedule C imports CMCA's standard rule: "Temporary Parking only – maximum of 14 nights within any 21-day period."
- Section 9 of the Residential Parks (Long-stay Tenants) Act 2006 ("Contracting out") provides that any contract, agreement, scheme or arrangement "has no effect to the extent that it purports to exclude, modify or restrict the operation of this Act," and that a person must not enter into an arrangement intended to defeat or evade the Act (penalty $10,000).
- The effect: the Preamble and Schedule C cannot lawfully be used to remove the rights of any resident who has occupied the park for three months or more (a long-stay tenant under the Act). A 14-night cap is the clearest example of a term that "restricts the operation of" the long-stay protections, and s.9 renders it of no effect for those residents.
- The timing compounds this. The 2020 Amendment Act reforms – including the prohibition on without-grounds termination of site-only agreements – were already in force from 31 January 2022. The agreement was signed five months later, on 1 July 2022. It could not, and cannot, displace rights that were already statutory when it was signed.

The two areas are distinct on the agreement's own Schedule A

- Schedule A to the Management Agreement is an aerial plan that shades and labels the site in two parts:
  - the **self-contained camping areas** (the large grid and the eastern polygon), which are the CMCA self-contained RV zones; and
  - a separate area labelled **"Flaxmill Caravan Park Boyup Brook,"** which contains the powered and ensuite sites, the tent camping area, the dump point and the Park Custodian site.
- The long-stay residents occupy sites within the caravan-park area – distinct from the self-contained RV zones.
- This matters because Schedule C's 14-night rule is expressly tied to the self-contained zones: it opens "Vehicles must comply with the CMCA Self Contained Vehicle Policy... to camp in the self-contained camping area." By the agreement's own geography, that rule governs the self-contained camping areas, not the caravan park.

- The 14-night cap and the Guest Stay Policy are therefore being applied to the wrong part of the site — caravan-park long-stay residents are being managed under rules drafted for the self-contained RV area.
- It also contradicts the position, taken in the Shire's 25 June responses, that the whole site is short-term tourism accommodation. The agreement's own Schedule A names and delineates a distinct "Flaxmill Caravan Park."

Why the current CMCA notices do not meet this standard

The 21-day "Notice of Stay Limit Enforcement & Required Vacation of Site" fails the statutory requirements at every step:

- it cites the wrong Act (the Residential Tenancies Act 1987, not the Residential Parks (Long-stay Tenants) Act 2006);
- it gives 21 days, where a site-only agreement requires at least 180;
- it is not in the form required by s.41D and s.38;
- it states no individual ground against any resident; and
- it bypasses the State Administrative Tribunal entirely (only the Tribunal can order possession).

It is also issued by a contractor with no delegated authority to issue it. On these grounds the notices do not, in my view, meet the requirements for a valid notice of termination under the Act. (Separately, a termination under s 41A also requires the operator to give Consumer Protection at least 7 days' prior written notice — an offence to omit, carrying a $5,000 penalty under s 41A(3); however, by s 41A(4) that omission does not by itself affect a notice's validity.)

The lawful sequence in one line

To cease long-stay sites the Shire must **vary the caravan-park licence**, then **terminate each existing long-stay agreement** under s.41A or s.41C with a compliant s.41D notice giving site-only tenants **at least 180 days** (with 7 days' prior notice to the Commissioner), and **apply to SAT for possession** if anyone remains. The 21-day CMCA policy notice does none of this.

Statutory references: Residential Parks (Long-stay Tenants) Act 2006 (WA) ss 9, 32Q, 38, 41A, 41C, 41D, 46; Caravan Parks and Camping Grounds Act 1995 (WA) (licensing); Caravan Parks and Camping Grounds Regulations 1997 (WA) regs 3, 11, 66; Local Government Act 1995 (WA) ss 5.42, 5.44. Management Agreement between the Shire of Boyup Brook and CMCA, signed 1 July 2022: Preamble, clauses 5.1 and 5.2, Schedule A, Schedule C. Minutes, Ordinary Council Meeting 28 April 2022, p.38. Shire responses:

Ordinary Council Meeting 25 June 2026 agenda, Public Question Time (Questions 1, 2 and 8).